

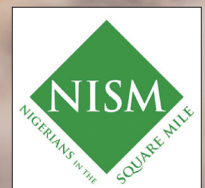
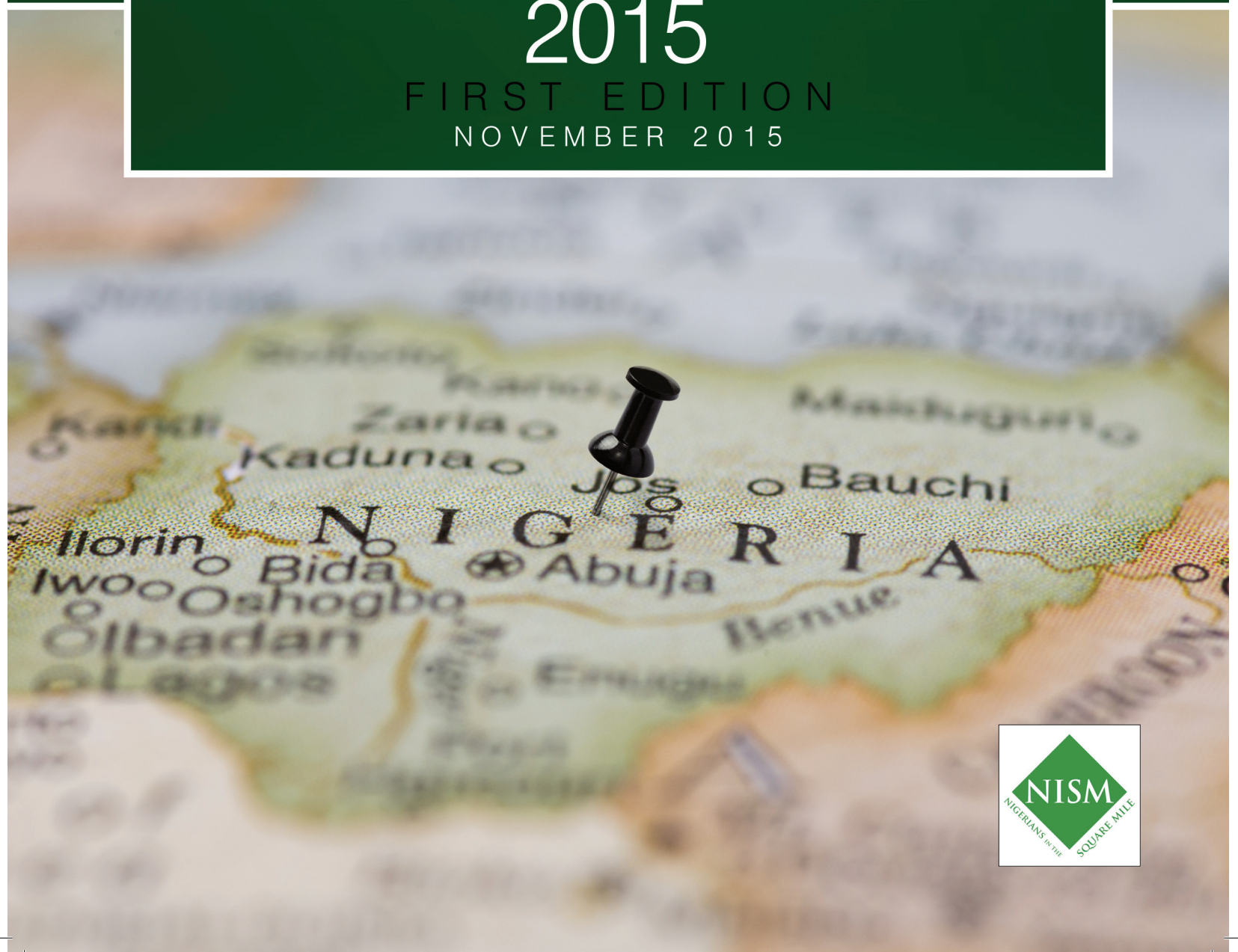
Nigeria Investment Survey

London Responds

2015

FIRST EDITION

NOVEMBER 2015



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Foreword

Nigeria Investment Survey 2015 - London Responds A project of Nigerians in the Square Mile (NISM)

Welcome to the Nigeria Investment Survey 2015 – London Responds. It was Geoffrey Moore, author of *Crossing the Chasm & Inside the Tornado* that said “Without big data analytics, companies are blind and deaf, wandering out onto the web like deer on a motorway”. How true! There has been a long standing need in Africa for veritable statistics to guide investors in their decision making. This is so much so, now that the attention of the world has increasingly become focused on Africa. Nigerians in the Square Mile have therefore set themselves this challenge of providing empirical evidence on the observation of London investors with a focus on Nigeria.

This report explores how London’s investment community views Nigeria as an investment destination, providing a detailed and comprehensive view of the expectations and experiences of investors. This report will provide guidance for investors and assist policy makers to develop policies and strategies that would make Nigeria, as a developing economy, a more appealing destination for investment.

There are a number of interesting finds in this report. The report demonstrates that more than 80% of the respondents described the process of executing their first deal in Nigeria to be “reasonably complicated”, or

worse, “unreasonably complicated”. This is not good news and at the Exchange, we will be working hard together with other regulatory bodies in Nigeria to ensure that there is a marked improvement on this subject matter.

The report also shows that although the initial experience of the investors is often fraught with complications, it is heartening to note that once engaged in Nigeria, almost 82% of respondents reported that their experience in Nigeria has gotten better over the last few years. The most significant contributor to this, according to 45% of respondents, was an “improved regulatory framework” suggesting that the policy efforts of the last government were not without reward.

The report accepts its geographical limitations in addressing only London investors. It is a much needed piece of research that will surely benefit the Nigerian market and potential investors.

Oscar Onyema OON
CEO, Nigerian Stock Exchange
Patron, Nigerians in the Square Mile

From the Chairman

Nigeria Investment Survey 2015 - London Responds **A project of Nigerians in the Square Mile (NISM)**

Nigerians in the Square Mile, established in 2008, is an association of Nigerian professionals working in the City of London.

One of its key aims is to facilitate positive interactions among Nigerian professionals working in London's financial districts through formal business and informal social forums. Another key objective is to provide mentoring to future generations of Nigerian professionals in London – we are extremely proud of NISM YPro (Young Professionals), just a year old but now the most vibrant part of our organisation. NISM also seeks to foster links with the business community in Nigeria and in April 2014, fifteen of our members embarked on our first Trade Mission to Nigeria - in partnership with UKTI – where they engaged in productive dialogue with executives of key public and private sector institutions on the major hurdles they face in achieving their development goals.

A fourth objective of NISM's is to serve as a think-tank contributing practical ideas and solutions towards

Nigeria's growth. We are making our maiden venture in this direction with the compilation of the "Nigeria Investment Survey 2015 – London Responds", a survey of forty one London-based investment and advisory firms. The ensuing report will be useful for current and potential investors, as well as policy makers and advisers.

We owe a debt of gratitude to all participating firms - without them, there would be no report. Our special thanks to Ikenna Iroche, the Chair of the Editorial Team and Nkemjika E. Kalu who assisted us with the analysis of the data. Our appreciation also extends to the Nigerian High Commission for its support as well as to Standard Chartered Bank for hosting our 6th symposium and the launch of this Report.

Paul I Kay Onifade LLM
Solicitor Advocate, Anthony Seddon Solicitor LLP
Chair, Nigerians in the Square Mile

Preface

Nigeria Investment Survey 2015 - London Responds

A project of Nigerians in the Square Mile (NISM)

In the last few years, much has been written and said about Africa's emergence as an investment destination of choice for the discriminating, yield-hungry investor. Readers of this report should be familiar with the rhetoric by now ("rising middle class"; "record-breaking GDP growth" etc.). No African nation has generated more excited chatter than Nigeria, the self-styled Giant of Africa with a population twice the size of Ethiopia's (2nd most populous African country), the largest GDP and a demographic profile that suggests great promise for the intrepid investor.

Nigeria, as an investment destination, has attracted comment from a growing host of informed observers. Jim O'Neill (in his pronouncements on the MINT Countries: Mexico, Indonesia, Nigeria & Turkey) and Mark Mobius (in his Franklin Templeton blog pieces) are just two of the highly respected investors to wax lyrical about the country's potential. In 2012, JPMorgan added Nigeria to its Emerging Markets Bond index. In 2014, Nigeria overtook South Africa as the continent's largest economy after a GDP-rebasing in the same year that Procter & Gamble opened a \$300m manufacturing plant and that GE committed itself to \$1bn of investments spread over 5 years. The Wall Street Journal's Frontier Market Sentiment Index (FMSI) ranked Nigeria as the number one country on the "Watch List" of the top 200 multinational companies from USA and the EU. UNCTAD's Annual World Investment Report, ranked Nigeria No.1 in Africa for net-FDI in 2011 & 2012 and in the top 3 in 2013 & 2014¹.

The narrative isn't all positive though. Despite the euphoria over the peaceful change of power in May 2015, it has been a very challenging year for the country.

¹ It should be noted that this measurement takes into consideration only net FDI and discounts large investments (acquisitions) by local companies from multinationals, if these investments were included the net-FDI figure would be substantially greater.

The steady and long-lasting decline in oil prices has dented the government's earnings and placed significant downward pressure on the Naira – one upshot of this being Nigeria's ejection from the aforementioned JP Morgan Bond index after a mere 3 years. The lack of depth in the country's capital markets is often cited as a negative factor and observers less-enamoured of the Nigeria fanfare are never shy to mention Corruption and/or Terrorism as reasons for investors to give the country a wide berth.

The stark reality is that, despite all the chatter, Nigeria – like most of its continental kin – is a data-poor environment when it comes to reliable statistics on investing. Therein lies the reason for this survey and report. This is our opening gambit in an attempt to shift the conversation from hyperbolic rhetoric towards fact-based analysis. We engage the investment community to elicit the hard facts that surround the experience of investing in Nigeria.

The 2015 inaugural Nigeria Investment Survey seeks to present a more comprehensive picture of the experiences of investors in Nigeria.

Editorial Team

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Report:

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Nkemjika E. Kalu and Ikenna Iroche.

Questionnaire & Research:

Sara Alade, Ayo Porter, Gbite Oduneye, Chinyelu Oranefo and members of the NISM Executive.

About this research

Nigeria Investment Survey 2015 - London Responds A project of Nigerians in the Square Mile (NISM)

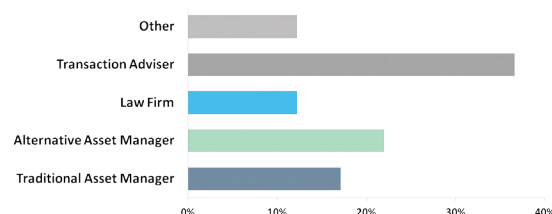
The Nigeria Investment Survey 2015 is an empirical appraisal of Nigeria's suitability as a viable investment destination. It aims to provide policy makers, institutional investors, multinational corporations and developmental finance institutions with vital information to guide decision-making.

The survey targeted a broad spectrum of emerging markets institutional investors – hedge fund managers, family offices, long-only asset managers, venture capital & private equity firms – and transaction advisors – law firms, corporate finance boutiques, accountants & tax advisors – identified through the primary networks of Nigerians InThe Square Mile (NISM). A total of 41 respondents completed the survey.

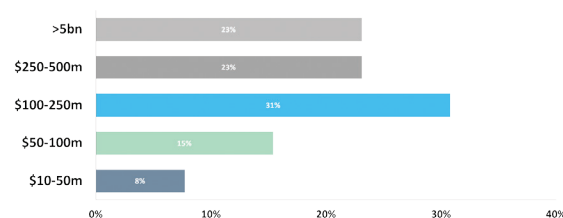
Most (85%) of the respondent investors are institutions that manage multiple investment funds including 60% who have at least one dedicated emerging markets fund. Institutional sizes varied significantly with about one quarter of respondents possessing less than \$100m in AUM and a similar proportion with total AUM exceeding \$5bn. The bulk of respondents (54%) range from \$100m - \$500m in AUM. Just over a third of these investors have total emerging markets exposures in excess of \$100m. The respondents are largely long-term investors with individual ticket sizes ranging from \$250,000 - \$50m though the median range is \$1m - \$10m.

NISM, founded in December 2008, is an organisation of Nigerian professionals active in London's financial districts whose primary objective is to "serve as a think-tank, and contribute to the development of a vibrant and professional financial services industry in Nigeria".

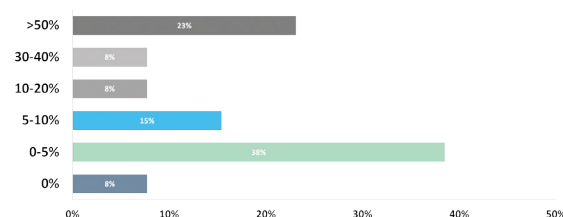
By Firm Type



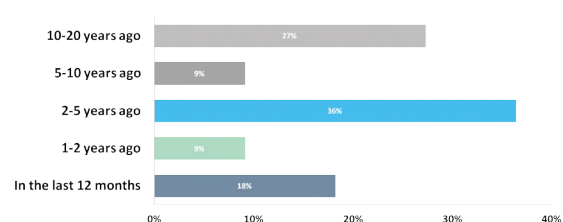
By AUM



Proportion of Main Fund dedicated to Emerging Markets



Timing of First Nigerian Transaction



Key Findings

Nigeria Investment Survey 2015 - London Responds

A project of Nigerians in the Square Mile (NISM)

First-time investors find Nigeria to be a very challenging market. More than 80% of respondents described the process of executing their first deal to be “Reasonably complicated” or worse, “unreasonably complicated, slow and cumbersome”. The rest of the respondents sailed through their first transaction with nothing more than “a few minor issues”.

The good news is that, it does get easier. Every one of the aforementioned respondents executed at least one more transaction in Nigeria with the proportion that referred to the process as “Reasonably complicated” or worse dropping to 63%. Interestingly, the most-referenced factor in the improved ease of transacting was an “improved regulatory framework” (45%) with over a third of respondents indicating that the process improved due to their own better “understanding of the market and how it works”. A quarter of the respondents had their experiences improved by “increased political stability” and “access to better brokerage / transaction advisory services”.

While these responses suggest that there is wisdom in investors doing their homework properly and appointing professional advisors, it is clear that the government regulators have a major part to play in “easing the pain” felt by investors when transacting in Nigeria.

Some investors are extremely bullish on Nigeria. Almost a fifth of respondents have invested at least 35% of their portfolio in Nigeria assets. Considering our target audience is made up of London-based investors, it is a surprise to see some investors so heavily exposed to one country. Inversely, and in line with our expectations, most respondents (73%) noted that only 0-5% of their current portfolio is made up of Nigeria investments.

Policy Instability is a far bigger headache than Corruption and Terrorism. When asked to rank a list of nine factors that mattered most to them when making investments, our respondents stated that the absence of political risk i.e. “Coherent policy formulation, implementation and stability” was their number one priority. In close 2nd was “Exchange Rate Stability” while “Availability of reliable data” and the “Absence of corrupt

practices” shared the 3rd spot.

When asked, in a follow-up question to state which of those same nine factors had presented the most difficulty when investing in Nigeria, our respondents were unequivocal: 73% said that “policy instability and/or poor policy implementation” was their largest impediment. Approximately 55% of respondents bemoaned “poor infrastructure” and a “lack of viable Exit Strategies” as significant hurdles they have to address. Most surprising for us was that less than 10% of respondents listed “lack of data and/or unreliability of available data” as a major concern, possibly putting to bed yet another misconception about the challenges of investing in frontier markets.

Investors remain largely undaunted by the low oil price and other attendant travails of 2015.

75% of respondents are actively evaluating opportunities in a bid to add to their existing Nigerian portfolio in the next 12 months, with less than 10% seeking to divest at least some of their Nigerian investments in the same time period.

Interestingly, of the respondents who have not invested in Nigerian assets before, 100% stated that they are actively evaluating making an investment inside of 12 months. While we must temper the optimism of this finding with the recognition that any investor motivated enough to complete this survey probably had some Nigeria-bias already, the interest shown by these Nigeria “virgins” should be viewed as an endorsement in itself.

Nigeria: Scary from afar, Far from scary.

Towards the end of our questionnaire we asked our investors to compare and contrast their perceptions of Nigeria as an investment destination prior and subsequent to conducting their first investments. While not strictly universal, the overwhelming trend here was a shift from a slightly negative skew to a firmly positive one. About 20% of respondents stated that their perception remained unchanged while not a single respondent reported a dimmed view of the market post-transaction.

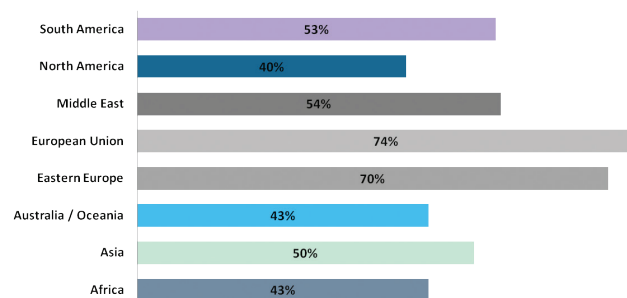
Following is a collection of some of the more revealing responses.

TABLE: RESPONSES OF INVESTORS ON THEIR PERCEPTIONS BEFORE INVESTING IN NIGERIA AND AFTER EXPERIENCE INVESTING IN NIGERIA	
Perceptions BEFORE Market Entry	Perceptions AFTER Market Entry
Poor	now a core market for us
ambiguous	Improved
Corrupt and not Transparent then we met a great transaction adviser [name redacted for anonymity]	Changed considerably, we are looking to make our first investment
tough to do business in	the same
I am Nigerian and I have invested in Nigeria prior to joining my present firm. As such, my expectations were well calibrated.	Capital markets have deepened somewhat since the early days but much more still needs to be done.
A lot of opportunity	Has not changed
Would be "interesting".	It was "interesting" but impressed by the commerciality and quality of the advisors, although there seems to be a lot of talk whilst there should be more doing.
That it could be fraught with complications and excessive risk	That business and deals can be transacted but a thorough understanding of the all aspects and the fix when things go wrong
We heard a lot of negative things	It's a typical emerging market with the issues that come with it
Nigeria is a place with many opportunities, but with an extremely challenging business environment.	n/a
Quite negative actually	We will be increasing our exposure as it is difficult but definitely worth it
Difficult place to navigate	still difficult but offers very good returns
OPPORTUNITY	I LIKE NIGERIA MORE AND MORE EVERYDAY
Enormous Potential	Has not changed

I. Comparing Nigeria to other Emerging Markets & Frontier destinations

Despite assertions of the increasing attractiveness of rapidly growing African economies, often attributed to the recent significant push from China into African extractives industries and the preponderance of the “Africa Rising” and “a new day for Africa” narratives, the continent still lags behind other emerging market regions when it comes to asset allocation.

Average Geographic Spread of Respondents' Current Investment Portfolios



Our survey respondents' asset mix is regionally weighted in favour of, first, the EU and then Eastern Europe. Some way back, Middle East comes in 3rd marginally pipping South America to the final podium place. Africa and Oceania occupy a lowly spot beneath Asia with North America bringing up the rear (which is hardly a surprising result from a group of emerging markets investors based in London).

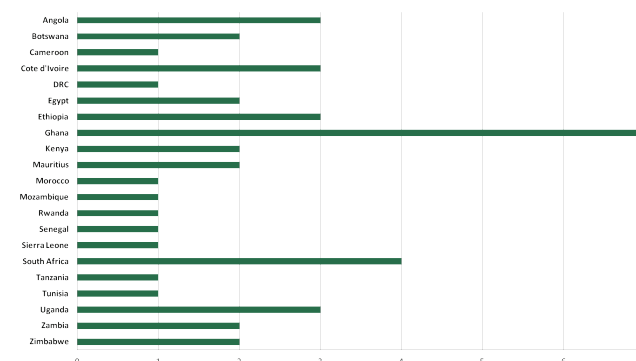
Vying, as it is, for a share of the miserly pool of the investment dollars the world is presently willing to commit to Africa, it would be useful for Nigeria to know what competition it faces. We asked our respondents to highlight the other African countries in which they'd made a new investment since 2008.

It was intriguing to discover that the friendly regional rivalry between Nigeria and its nearest Anglophone neighbour extends beyond football and the Arts to encompass the world of inward investing: more than half of our respondents have invested in Ghana during the stated time period.

About 30% of them have carried out transactions in South Africa, traditionally the jump-off point for western investors dipping a metaphorical toe into African waters. Oil-rich Angola has attracted commitments from a little under a quarter of our respondents with similar numbers writing

cheques in Cote d'Ivoire, Ethiopia and Uganda.

Number of Investors with Fresh Investments in Africa since 2008 by Country

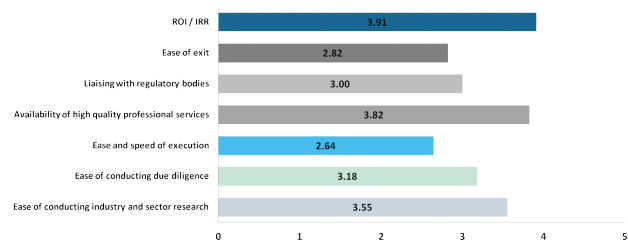


The responses also corroborated a noticeable trend in Africa investing: an East-West divide – less than 20% of our respondents have invested in Kenya and for Rwanda and Tanzania, the number falls below 10%. For reasons not entirely clear to us (though possibly cultural), most Africa investors maintain a regional bias from which they don't often stray. It is unusual to find an institutional investor with a strong West African track record that is equally well-versed in East Africa, Southern Africa or North Africa for that matter. This is not the place to delve into this topic but it is a peculiarity worth watching.

We asked our pool of investors to compare their investing experience in Nigeria to that in other emerging markets, based on a number of specific criteria. With a score of 5 representing extreme satisfaction and 1, extreme dissatisfaction, Nigeria scores very highly on ROI / IRR: 3.91 suggesting that investors earned higher returns making Nigeria indeed worthy of all the fuss. Nigeria also scores very highly in terms of the availability of high quality lawyers, bankers and other professional services firms, a category which our respondents scored 3.82. As highlighted in our Key Findings, Nigeria is a tough market to transact in and our respondents scored it a middling 2.64 (somewhere between “dissatisfied” and “indifferent”) for Ease & Speed of Execution.

Despite the relatively high score given for returns, investors showed little enthusiasm for the comparative ease of exiting their Nigeria investments scoring it an “indifferent” 3

Experience of investing in Nigeria compared to other emerging markets - average score on a scale of 1-5



for Liquidity and for the availability of adequate Currency Hedges. Nigeria did fare better in terms of the ease of gaining Regulatory Approvals for Capital Outflows where respondents gave it a score of 3.5 i.e. halfway between “indifferent” and “satisfied”.

We asked our London-based transaction advisors for their views on Nigeria in contrast to other regions, placing particular emphasis on their experiences working with local advisors “on ground” (as they say in Lagos and Abuja).

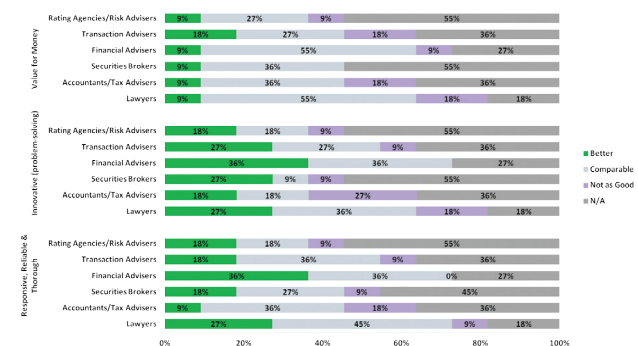
Asked to rate them against their counterparts in the UK, Europe and USA, our respondents rated Nigerian lawyers, accountants/tax advisors and financial advisors (corporate finance boutiques etc.) comparable – as opposed to better or not as good – when scored on “reliability”, “innovation (problem-solving)” and “value for money”. Nigerian transaction advisors and ratings agencies/risk advisors scored equally well apart from “innovation” where they rated not as good. The feedback was less positive for Nigerian securities brokers: while rated comparable or better for “innovation”, they fared poorly in the areas of “reliability” and “value for money”.

We then asked our respondents to give the same ratings to the same set of advisors “on ground” but this time measuring them against counterparts in other frontier and emerging markets.

Here, Nigerian lawyers, accountants/tax advisors, securities brokers, financial advisors, transaction advisors and ratings agencies/risk advisors outperform their competitors with most of the responses gauging their quality of service better or comparable in terms of “reliability”, “innovation” and “value for money”.

We then asked our respondents if they had additional criteria they used when evaluating professional services firms “on ground”. The few that did indicated that they find it helpful to work with local advisors who already have a good deal of international exposure and/or take a global perspective in discharging their services. Two other criteria mentioned were the longevity of the local firm as well as its credibility.

Nigerian Professional Services v peers in other Emerging Markets

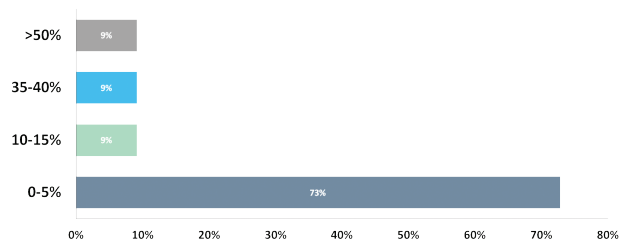


II. Experiences of investors in Nigeria in recent years

Approximately 85% of investor respondents have invested in Nigeria, 40% of whom entered the Nigerian market between 2-5 years ago, 20% between 1-2 years ago with the remaining 40% having made their initial foray in the last 12 months.

While most investors are cautious about investing in Nigeria, 73% noted that only 0-5% of their current portfolio is made up of Nigeria investments, 18% of investors have portfolios where Nigerian assets comprised 35% or more of their portfolio as represented in the chart below.

Percentage of portfolio in Nigerian investments



However, this bullish approach has not meant that investing in Nigeria has been an easy experience. Just over half of the respondents, 54.55%, noted that investing in Nigeria has been reasonably complicated. This resonates with the initial perceptions of Nigeria as somewhat daunting and complicated prior to market entry. Similarly, as perceptions improved following increased experience and better knowledge of local market conditions, the proportion of investors who still find the process reasonably complicated has dropped to 45%, while the proportion of those who now find the process relatively straightforward has tripled.

TOP 3 IMPEDIMENTS TO INVESTING IN NIGERIA

- 1) Political risks
- 2) Lack of viable Exit Strategies
- 3) Poor infrastructure

On the whole investors have rated their experience investing in Nigeria when compared to other emerging market regions in their portfolio between indifferent and satisfied. Responses indicated that investors were less satisfied with their experience in Nigeria compared to other emerging markets when it came to the ease & speed of execution for transactions and the ease of exit. Highest ratings (satisfactory) for Nigeria were in ROI / IRR and the availability of high quality professional services firms

(lawyers, bankers, transaction advisors).

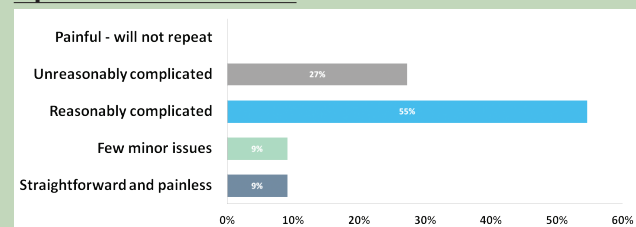
When asked about their views on Nigeria as an investment destination, **92% of respondents indicated intent to expand their Nigerian portfolio in the next 12 months.** Only 8% of respondents are seeking to divest some or all of their Nigerian investments in the next 12 months.

Experiences of Transaction Advisors in Nigeria

Similar to the investors, most of the transaction advisors that completed the survey are recent entrants to the Nigerian investment marketplace.

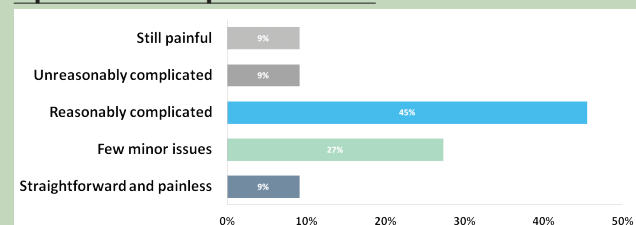
81% of the transaction advisors surveyed have advised clients on investments in Nigeria, 75% of whom have between 1 and 5 completed transactions under their belts. Approximately two-thirds of respondents completed their first transaction in the last 5 years while the remaining third have between 5 -20 years of experience in the Nigerian market. This corresponds with the findings of 64% of transaction advisors that report a low proportion, 0-10%, of their current client base with investments in Nigeria, with the rest reporting that 10-40% of their clientele have Nigeria exposure.

Experience of first transaction



100% of transaction advisor respondents indicated that the execution process for transactions in Nigeria is more complicated than that of other countries, though approximately 30% indicated that the level of complexity is dependent on the transaction.

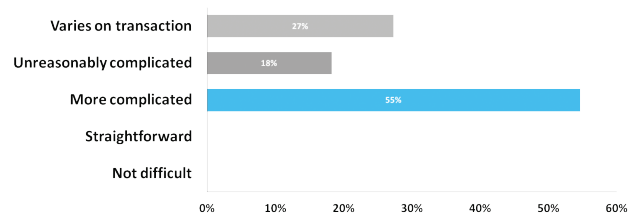
Experience of subsequent transactions



Transaction advisors have found the use of local agents vital to the successful execution of transactions in Nigeria, particularly lawyers. Other useful local agents that add to the ease of the execution of transactions include, Accountants/ Tax Advisors, Ratings Agencies/Risk Advisors Securities Brokers, Financial Advisors (Corporate Finance, Deal Structuring), and Transaction Advisors.

III. Challenges to executing transactions in Nigeria

Difficulty of execution compared to other countries



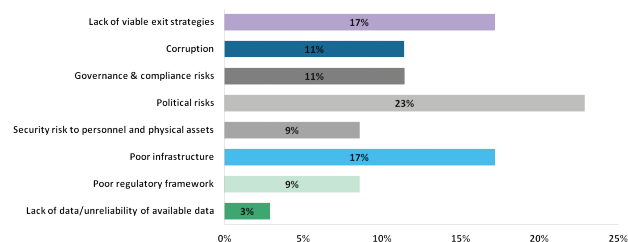
The greatest challenge to executing transactions in Nigeria as reported by investors is increased political instability. Most of our respondents are long-term investors: 85% hold on to an asset for 1 year or more and 46% for at least 3 years. It is thus of little surprise that these investors place such great emphasis on consistency in the policy regime of any investment destination.

Approximately 18% of investor respondents noted worsened liquidity as a challenge to investment transactions in Nigeria. Recent policy decisions of the new administration to control currency flows in and out of the country can therefore, be expected to have a negative impact on investor sentiment.

TRANSACTION ADVISORS' TOP IMPEDIMENTS TO INVESTING IN NIGERIA

1. Governance & Compliance risks
2. Poor infrastructure (transport, power etc.)
3. Security risks to personnel and to physical assets

Impediments to investing in Nigeria

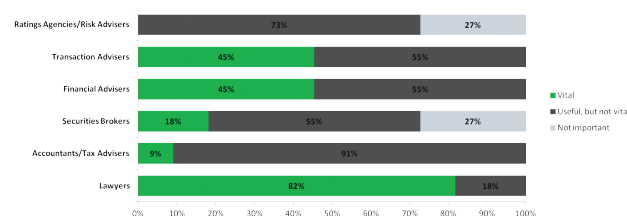


We asked transaction advisors to highlight the factors that complicate the deal execution process. From a list of nine factors, 73% of them highlighted "Governance & Compliance risks" as a recurring challenge while 64% highlighted "Security risks to personnel and to physical assets" and "Poor infrastructure (transport, power etc.)" as major issues.

Political risks (i.e. policy instability and/or poor policy implementation) present less of a challenge for transaction advisors than they do for investors – only 36% highlighted this as an issue for them in Nigeria. A similar number find the Lack of suitable / reliable data to be an encumbrance while more than half the respondents highlighted Corruption. It is instructive to note that only a quarter of the advisors reported dissatisfaction with the regulatory framework around investing and none of them voiced concerns about a "Lack of viable Exit Strategies". We wonder if this means the advisors have yet to fully align their interests with those of their clients' or simply that they need to do a better job of allaying their clients' fears on the subject.

When asked if they advise clients to take extra special precautions when executing transactions in Nigeria, approximately 63% of transaction advisors stated that they do with particular emphasis placed on the due diligence process. The advisors also stress the value of strong local networks and the drafting of clear and precise contracts.

Importance of local agents for executions



Rating of local agents compared to peers in established markets



The sectors participants are likely to invest in

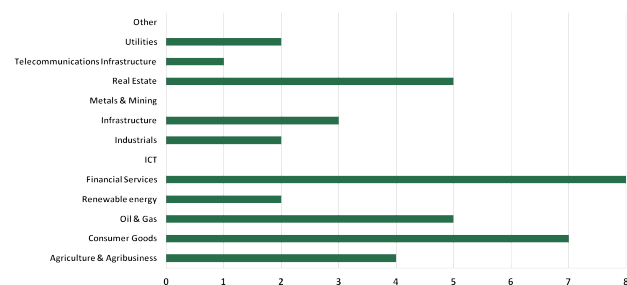
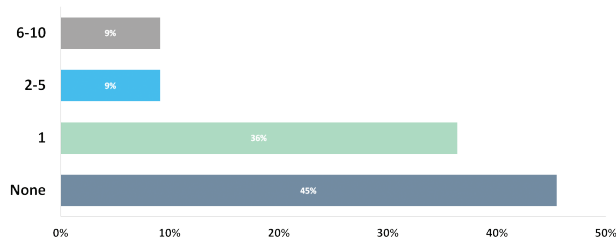


TABLE: SECTORS OF NIGERIA'S ECONOMY INVESTORS ARE MOST LIKELY TO INVEST IN	
Sector	% of Respondents Interested in Investing
Agriculture & Agribusiness	33.3%
Consumer Goods	58.3%
Energy – Oil & Gas	41.7%
Energy – Renewables	16.7%
Financial Services	66.7%
ICT	0.0%
Industrials	16.7%
Infrastructure (Aviation, Bridges, Rail, Road, Waterways)	25.0%
Metals & Mining	0.0%
Real Estate	41.7%
Telecommunications Infrastructure (Broadband, Fixed Line, Mobile, Towers)	8.3%
Utilities (Power, Water, Sewage)	16.7%
Other (Please Specify)	0.0%

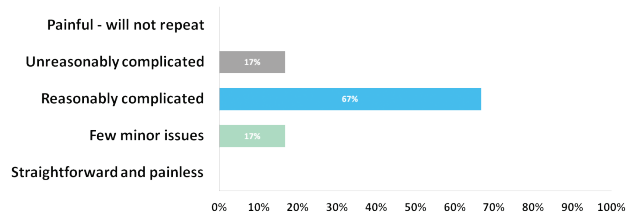
IV. Challenges to exiting investments in Nigeria

Number of successful exits



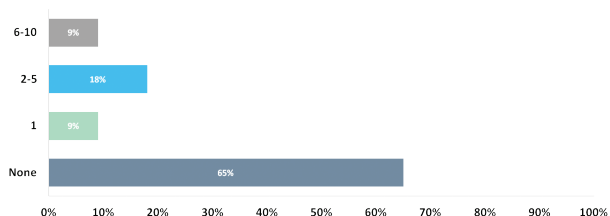
Perhaps as a reflection of Nigeria's relative youth as an investment destination (and the predominance of long-term investors in our survey), only 55% of respondents have completed successful exits from a Nigeria investment. Approximately one third of this number (about 18% of total responses) have executed multiple exits with none reporting to have made more than 10 exits this far into their Nigeria investment journey.

Average experience of exiting



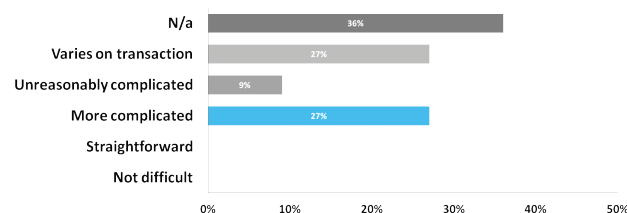
Of those who have exited, 67% indicated that the experience is reasonably complicated. Likewise, 63% of transaction advisors noted that they have found the experience of exiting investments in Nigeria to be more complicated than in other countries. These figures reaffirm the perception that Nigeria is a difficult place to do business though the data suggests that exiting an investment is slightly less of a challenge than entering into one. It could be argued that, from the time investors acquire an asset to the time they are ready to divest from said asset, their familiarity with and their ability to navigate through the challenges of the Nigeria market will be greatly advanced.

Number of successful exits advised on

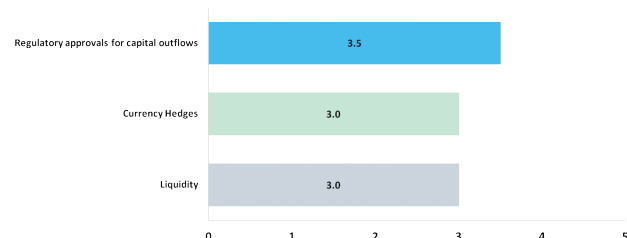


Attempting a closer evaluation of the challenges of the exit process, we asked investors to rate their experiences in terms of Liquidity (the ease of finding suitable buyers), the availability of suitable Currency Hedges (to limit exchange rate risk without eroding ROI) and the ease of gaining regulatory approvals to withdraw capital outside of Nigeria. On a scale of 1 to 5 - from Extremely Dissatisfied to Extremely Satisfied - investors were "indifferent" (neither satisfied nor dissatisfied) on the subjects of the availability of Liquidity and Currency Hedges. Regulatory approval did score better with sentiment sitting firmly between "indifferent" and "satisfied".

Difficulty of the exit process in comparison to other countries (Transaction Advisors)



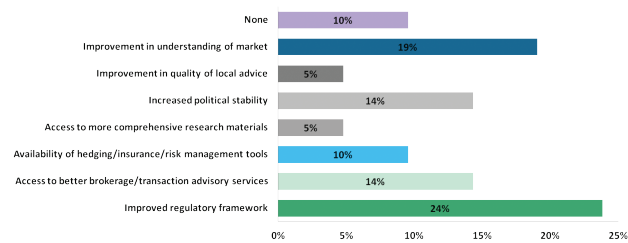
Ease and availability of the following for exits – average score on a scale of 1-5



V. Improving investors' experience in Nigeria

As we stated at the start of this report, first-time investors find Nigeria to be a very challenging market. A key policy objective of the previous government was to make Nigeria much more investor-friendly. It is thus, highly relevant to find out if (and why) the experiences of Nigeria investors have improved in recent years. Our survey results in this regard are somewhat encouraging.

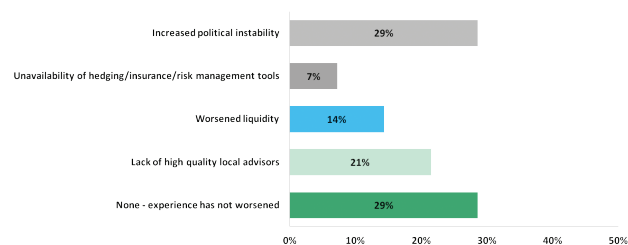
Changes that have improved the experience of executing of transactions



Almost 82% of respondents reported that their experience in Nigeria has gotten better over the last few years. The most significant contributor to this, according to 45% of respondents, was an “improved regulatory framework” suggesting that the policy efforts of the last government were not without reward.

36% of respondents said that their own improved understanding of the Nigerian market was key while approximately one quarter of respondents credited “increased political stability” and “access to better brokerage / transaction advisory services”.

Changes that have worsened the experience of executing of transactions



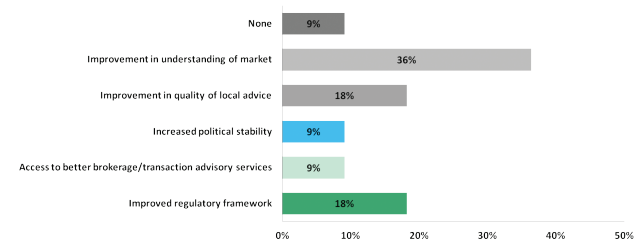
The difference between the experiences of investors and their transaction advisors is as prevalent here as it is in their assessment of the challenges to investing. As noted earlier, transaction advisors seem largely unperturbed by the regulatory standards in Nigeria and here, less than 20% of them pointed to advancements in the regulatory framework as a major factor in improving their experience. A similar proportion identified “improvement in the quality of

local advice” as a contributory factor while 9% referenced “increased political stability”.

In fairness, the upturn in the Nigeria investing experiences of transaction advisors is less marked that it is for investors – perhaps due to more realistic expectations in the first instance. More than a third of them put what improvements there have been down to bettering their “own understanding of the market and how it works”.

We pressed our respondents to suggest changes that would encourage them to make more investments in Nigeria. Their responses were illuminating.

Changes that have improved the experience of executing transactions (TA's)

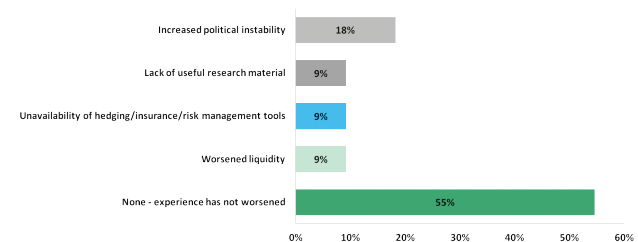


Easily the most prevalent response was for greater “political stability” with over 90% of respondents identifying this as one of the top 3 impediments to their activities in Nigeria. Some respondents were specific in referencing more coherent policy-making and policy implementation though most referred more generically to political (or government) stability on the whole. Second on their list of priorities was the issue of “liquidity” with just over half of the respondents requesting deeper capital markets to allay concerns around exiting their investments. Joint-third were the suggestions related to improving the “regulatory framework” and providing “better infrastructure”, both topics featuring in the top 3 for 45% of respondents.

As we expected, improving the government’s policy approach towards “currency stability” was a popular theme though this only featured in the top 3 for a quarter of investors.

Somewhat surprisingly, given the issues highlighted here and elsewhere in this report, 36% of the suggestions were geared specifically towards creating access to “more (investment) opportunities”. Some suggested that existing opportunities need to be presented better, however the overriding theme was that these investors want to see more Nigeria deals.

Changes that have worsened the experience of executing transactions (TA's)



Conclusion

Nigeria Investment Survey 2015 - London Responds

A project of Nigerians in the Square Mile (NISM)

The findings of the inaugural 2015 edition of the Nigeria Investment Survey have made obvious the need for a sustained evaluation of investors in Nigeria, investment patterns and the challenges and impediments to market that they face. These results can be used to inform government policy, to identify trends in the private sector and provide additional support and information to investors considering entering the Nigerian market.

There are some limitations to this study that can influence the generalizability of the findings. To begin with, the primary research sample is predominantly based in London. It is important to acknowledge that investors in other areas may have a different experience of investing in Nigeria, and may contribute to a more comprehensive picture of the investment climate in Nigeria. However, the authors of this study contend that the challenges of the systemic impediments to investing in Nigeria should be the same regardless of the geographic location of the investor. In addition, the sample size for the survey was not as large as we desired, so our findings may not be fully representativeness of the experience of all institutional investors. However, the intentionality of the methodology process to identify and survey investors with pertinent experience in investing in Nigeria and the general nature of the survey questions give us great confidence in the validity of our findings.

Subsequent iterations of this survey will go to greater lengths to grow the sample size both within NISM's core London geography and in other financial centres such as New York, Hong Kong & Dubai.

In sum, this survey is a much needed first step in the right direction, and provides empirical and substantial information, useful to the private and public sectors.

KEY TAKEAWAYS OF THE STUDY:

- ☞ Nigeria can be a very challenging market but these challenges can be offset by better knowledge of the local market, as well as precise contracts and engagement of knowledgeable local partners.
- ☞ "Lack of data and/or unreliability of available data" was not a major concern for respondents, which conflicts a commonly accepted position about the challenges of investing in frontier markets.
- ☞ Investors are most concerned about policy stability (political and economic) and poor policy implementation as barriers to market entry.
- ☞ Investors are seeking more and more opportunities to enter or expand their portfolios in Nigeria.
- ☞ Nigerian local advisors are on par with Western counterparts and according to investors perform better than counterparts in frontier and emerging markets

A FINAL WORD FROM THE SURVEY RESPONDENTS (SELECTED COMMENTS AND ANECDOTES)

[Focus on] long term planning rather than short term...

Regulatory environment is too cumbersome and infrastructure has to be improved

Don't be scared, be cautious and ensure you have the right partners and advisors that really understand what's going on, on the ground. The opportunities may present themselves in a different form to those in more developed markets.

I hope to see Mr Buhari staying brave and sticking to his principles. Becoming more and more imaginative (via good companies like ours) for the sake of all Nigerians...

The paucity of data for decision making is a bane. Investors looking to complete their first transaction must assure themselves of robust data sources - formal or informal matters less.

Trust no-one. Keep your wits about you all the time.

With Nigeria it's a case of get in and get involved, it is getting better daily

With better infrastructure it [Nigeria] will be the haven for global investment

Policymakers and regulators can make it [Nigeria] more appealing investment destination by improving infrastructure





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